*(revised)*

# TOGETHER , WE RISE

## 2025-26 Budget Overview

February 04, 2025

# Agenda

- Provide Context for 2025-26 Budget Recommendations
- Share Proposed Recommendations and Anticipated Impacts
- Highlight the Engagement Timeline and Opportunities for Feedback

# Financial Pressures Contributing to Our Shortfall



## Rising Costs

Inflation has resulted in higher costs of goods and services.

We have invested in our employees' compensation and teacher planning time. PERS costs are also rising.

Our student needs continue.



## Limited Revenue

Our state dollars continue to fall short of the costs to operate our schools.

We have less special revenue, including the end of federal pandemic aid.



## Declining Enrollment

We have fewer students and the same number of buildings.

Our funding is dependent upon number of students.

Since 2020, PPS's student enrollment has declined 9.5%, faster than Oregon's (6%), and is projected to continue to decline.

# Multi-Year Process

**COST CONTAINMENT**

**2022-25**



Restricted Hiring + Spending Limits

**$40M OF $105M REMAINING**

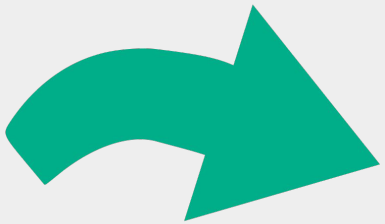
**2025-26**



Current Focus

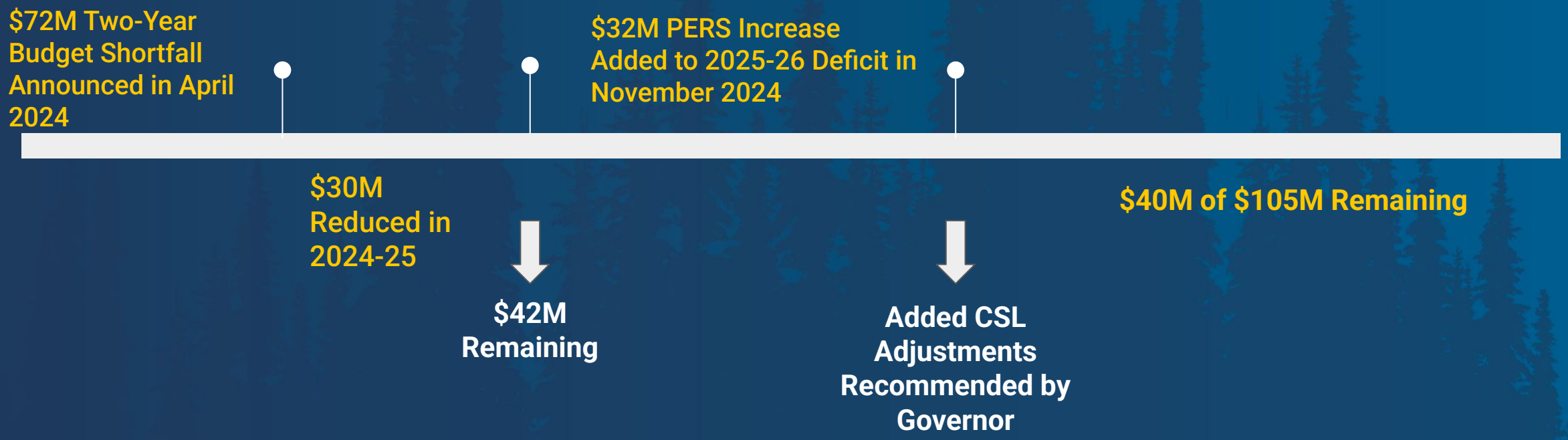
**MODERATE REDUCTIONS PLANNED**

**2026-27**



Future Outlook

# $105M Deficit Timeline



# General Fund Reductions for 2022-23

Unfortunately, our budget gap means that over the next few years, PPS will experience a reduction in staff, programs, and services in schools and the central office.

**PPS made $30 million in cuts for 2022-23.**

| School-based budgets | Central budgets |
| --- | --- |
| $0 million | -$30 million |

# General Fund Reductions for 2023-24

Unfortunately, our budget gap means that over the next few years, PPS will experience a reduction in staff, programs, and services in schools and the central office.

**PPS made $10 million in cuts for 2023-24.**

| School-based budgets | Central budgets |
| --- | --- |
| $0 million | -$10 million |

# General Fund Reductions for 2024-25

Unfortunately, our budget gap means that over the next few years, PPS will experience a reduction in staff, programs, and services in schools and the central office.

**PPS made $30 million in cuts for 2024-25.**

| School-based budgets | Central budgets |
| --- | --- |
| -$14.2 million | -$15.7 million |

# General Fund Reductions for 2025-26

**Unfortunately, our budget gap means PPS will experience a reduction in staff, programs, and services in schools and the central office.**

## PPS needs to make approximately $40 million in cuts for 2025-26

**School-based budgets**
-$29.6 million

**Central budgets**
-$12.2 million

These are current estimates; these figures may shift as additional information and decisions surface.

# Continued Cuts to Central Budgets

## 2022-2023

The central office made over $30 million in reductions to spare schools from funding cuts.

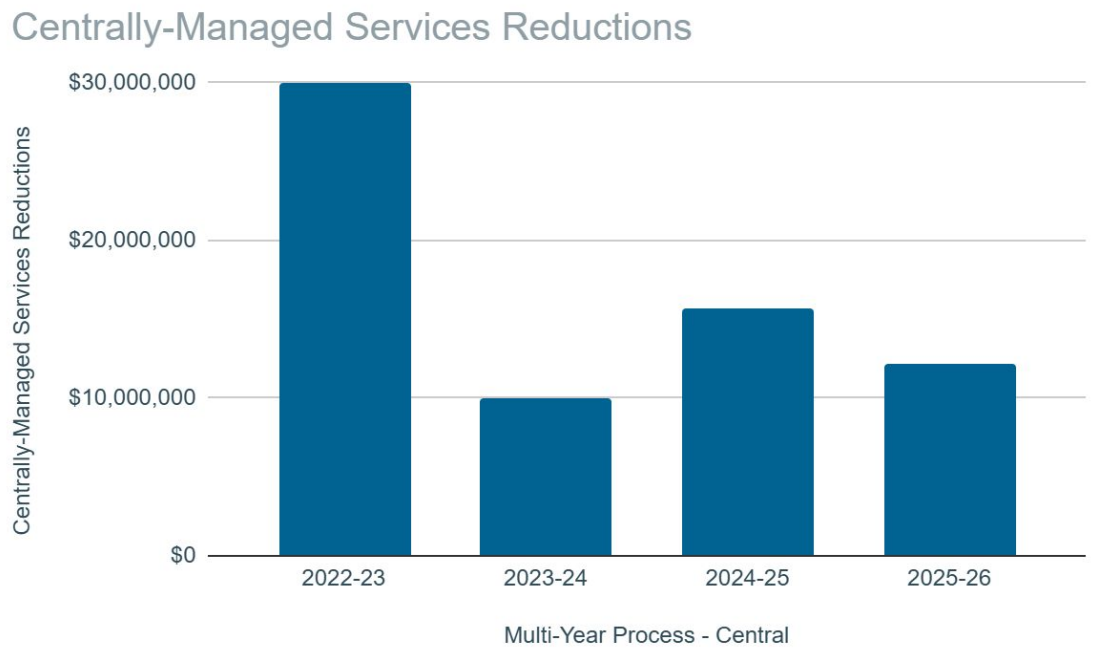
## 2023-2024

During the middle of the school year, we implemented a hiring freeze for central office positions and reduced non-personnel budgets by $10 million to address the shortfall.

## 2024-2025

Reductions for the centrally-based, centrally-funded services totalled $15 million.

This was achieved to the greatest extent possible by decreasing non-direct student-facing staff, central office operations, and contracts with outside organizations.




**Total $67M cut over four years**

## Projected 2025-2026

Reductions for the centrally-based, centrally-funded services are projected at $12 million.

This will be achieved to the greatest extent possible by decreasing non-direct student-facing staff, central office operations, and contracts with outside organizations.

# Our Why

Our mission is to educate all children to their highest potential to be productive, respectful, self-reliant, and responsible citizens who value the richness of diversity.

## PPS reImagined

*Preparing Our Students to Lead Change and Improve the World*

- ➔ Educational System Shifts
- ➔ Educator Essentials
- ➔ Graduate Portrait

## Forward Together

*Strategic Plan for Racial Equity, Inclusion, and Excellence*

- ➔ Racial Equity & Social Justice
- ➔ Inclusive & Differentiated Learning
- ➔ Professional Excellence & Support
- ➔ Embracing Change

## Board of Education Goals

*Eliminate Opportunity and Outcome Gaps*

- ➔ Third Grade Reading
- ➔ Fifth Grade Math
- ➔ Eighth Grade Readiness
- ➔ High School Graduation

# 25-26 Proposed Reductions

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| Category | Description | Projected Savings | Position Change |
|---|---|---|---|
| Central Office | Classified Staff | 900,000 | 7 |
| | Senior Leadership Staff | 1,500,000 | 6 |
| | Licensed Staff | 600,000 | 4 |
| | Non-Represented Staff | 400,000 | 3 |
| | Administrator | 400,000 | 2 |
| | Grant Program Ending (Match Requirements) | 700,000 | 1 |
| | Central Office Travel | 200,000 | 0 |
| | Facilities Services Reduction | 200,000 | 0 |
| | Let's Talk Contract | 100,000 | 0 |
| | Non-Personnel | 800,000 | 0 |
| | Personal Services (Contracts) | 3,400,000 | 0 |
| | Professional Development (Reduce Four Teacher Professional Learning Days) | 2,200,000 | 0 |
| | Racial Equity & Social Justice Partnership Contracts 5% Reduction | 400,000 | 0 |
| | Security (Reduce Campus Safety Associate Overtime) | 300,000 | 0 |
| | Transportation - Limit Charter Bus Use | 100,000 | 0 |
| | **Central Office Total** | **$12,200,000** | **23** |

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# 25-26 Proposed Reductions

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| Category | Description | Projected Savings | Position Change |
|---|---|---|---|
| Elementary School | Kindergarten Educational Assistants at class size of 20 in Title I schools only (Classified Staff Reduction) (39% reduction) | 1,200,000 | 18 |
| | Licensed and Classified Staff Reduction Due to Enrollment Decline | 800,000 | 6 |
| | Reduce K-5 International Baccalaureate Programming | 500,000 | 3 |
| | **Elementary School Total** | **$2,500,000** | **27** |

| Category | Description | Projected Savings | Position Change |
|---|---|---|---|
| High School | High School Staffing Formula Increase By One Student | 2,800,000 | 20 |
| | Discontinue High School "Targeted School Improvement" Staffing Allocation | 2,100,000 | 15 |
| | **High School Total** | **$4,900,000** | **35** |

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| Category | Description | Projected Savings | Position Change |
|---|---|---|---|
| K-8 School | Licensed and Classified Staff Reduction Due to Enrollment Decline | 1,200,000 | 8 |
| | **K-8 School Total** | **$1,200,000** | **8** |

# 25-26 Proposed Reductions

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| Category | Description | Projected Savings | Position Change |
|---|---|---|---|
| Middle School | Remove Dual Language Immersion Supplemental Staffing | 1,400,000 | 10 |
| | Reduce Title I Supplemental Staffing | 800,000 | 6 |
| | Licensed and Classified Staff Reduction Due to Enrollment Decline | 200,000 | 1 |
| | **Middle School Total** | **$2,400,000** | **17** |

| Category | Description | Projected Savings | Position Change |
|---|---|---|---|
| Multiple School Levels | Reduce Licensed Supplemental Staff (Instructional Coach, Interventionists, Social Emotional Supports, School Site Instructors) (40% reduction) | 10,400,000 | 69 |
| | Program Balancing Pool of Licensed Staff | 2,500,000 | 20 |
| | Program Balancing Pool of Administrators | 2,800,000 | 14 |
| | Program Balancing Pool of Licensed Staff (Southeast Guiding Coalition) | 1,400,000 | 10 |
| | **Multiple School Levels Total** | **$17,100,000** | **113** |

| Category | Description | Projected Savings | Position Change |
|---|---|---|---|
| Specialized Programs | Multilingual Learners Staffing (ELD) | 1,000,000 | 7 |
| | **Specialized Programs Total** | **1,000,000** | **7** |

| | | | |
|---|---|---|---|
| Grand Total | | **$41,300,000** | **228** |

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# Engagement Timeline: Winter 2025

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| Day | Date | Engagement |
|---|---|---|
| Thursday | Jan 16 | Senior Directors and Assistant Superintendents meet with Dr. Franco and Budget Team |
| Thursday | Jan 16 | Dr. Armstrong + Senior Leaders meet w/ Principals to discuss Budget Overview-DRAFT |
| TBD | TBD | Board Working Session: Advocacy and Proposed Reductions |
| Thursday | Jan 23 | Community Transition Meeting with External Stakeholders |
| Thursday | Jan 23 | Community Budget Review Committee (CBRC) Meeting |
| Monday | Feb 3 | Educator Town Hall (Virtual) |
| Wednesday | Feb 5 | Central Office Listening Session (PEC) |
| Wednesday | Feb 5 | Community Budget Forum (Virtual) |
| Thursday | Feb 6 | Building Leader Listening Session (PEC) |

# Board Adoption Timeline: Spring 2025

| Day | Date | Engagement |
|---|---|---|
| Tuesday | Mar 4 | Board Budget Work Session with Community Budget Review Committee |
| Tuesday | Mar 18 | Board Budget Work Session |
| Tuesday | Apr 22 | Board Meeting: Superintendent Delivers the 2025-26 Proposed Budget |
| Tuesday | May 1 | School Board Public Comment Session on the 2025-26 Proposed Budget |
| Tuesday | May 6 | Community Budget Review Committee Presents Reports to School Board |
| Tuesday | May 20 | Board Meeting: School Board as a Budget Committee Approves the 2025-26 Proposed Budget |
| Tuesday | June 10 | TSCC Hearing:  Tax Supervising and Conservation Commission Certifies the 2025-26 Approved Budget |
| Tuesday | June 10 | Board Meeting: School Board Adopts the Approved 2025-26 Budget |

# State Advocacy

## State Advocacy Toolkit

**Get involved and help Oregon students achieve their highest potential!**

- → Legislative Engagement
- → External Engagement
- → Templates and Scripts

# Advocacy

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*PPS will pursue the following budget priorities in*

## 2025 Legislative Session Advocacy:

- ➔ Invest in High Quality Education
- ➔ Pass the Governor's Recommended Changes to the Current Service Level (CSL)
- ➔ Fully Fund Recent Mandates and New Initiatives
- ➔ Fully Fund Special Education Services
- ➔ Funding for Student Supports
- ➔ Maintain Sustainable Funding
  - ◆ School nutrition programs, extended learning opportunities, and early literacy
  - ◆ Currently on 2025 Oregon Legislative Agenda: HB 3039 Directs ODE to study ways to increase summer and afterschool programs
- ➔ Additional Funding
  - ◆ Facility improvements, curriculum, transportation, green schoolyards, cyber security, and healthcare access

# Budget Feedback Form

**Share Comments with District Leadership**

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# Public Comment

**Share Public Comment with the Board of Education**

publiccomment@pps.net

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